Northern Illinois University

Corporate Ownership on Housing Values

(paper still trying to get out of bed)

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Motivation

- Housing markets in the United States are not well functioning when it comes to affordability.
- Since about 2000, there has been a move toward corporate ownership of rental properties, with spikes after the 2007 financial crisis and post-Covid 19.
- Corporations can usually outbid the more common single-family home buyers.
- Previous research indicates neighborhoods with more owner-occupiers provide more stability and add to the formation of social capital.

Motivation

- Renters have less “skin in the game” and thus may not be concerned with upkeep or neighborhood quality.
- Large absentee landlords may not be as aware of conditions of the home leading to a higher share of “run down” properties.
- Research by Federal Reserve Bank of Georgia found that corporate owners where 8% more likely to evict tenants.
- Corporate owners “scooping up” properties exerts a higher pressure on the limited supply.
- Corporate buyers tend to buy and renovate poor quality properties in low income and low-quality neighborhoods.
- Corporate owners can exploit economies of scale.
- Corporate owners can provide more stability in rental markets and provide programs such as rent-to-buy.

Literature

- Wang, et al (1991)
  - Look at a unit transitioning from owner to renter occupied housing on the value of the unit, the nearby units, and the larger neighborhood.
  - Results find that the transition decreases value of the home itself, will spillover onto immediate neighbors, but the direct effect decreases with distance, and has a negative impact on overall neighborhoods.
  - Find a 3.7% discount for home sold as a rental home and each additional rental home in 5 home radius discounts another $430.
  - Discount decreases with distance with each home in the outer 8 home radius discounting at about $120.

Literature

- Ihlanfeldt and Yang (2021)
  - Estimate the impact on effective tax rates and tax prices of renter occupied or vacation homes.
  - Estimate a census tract housing price index.
  - Break SFR into corporate and non-corporate and in- and out-of-state ownership.
  - Find every one percent increase in rental housing in neighborhood (census tract), depresses value by about 7% at a maximum (between 1.5% and 5%)

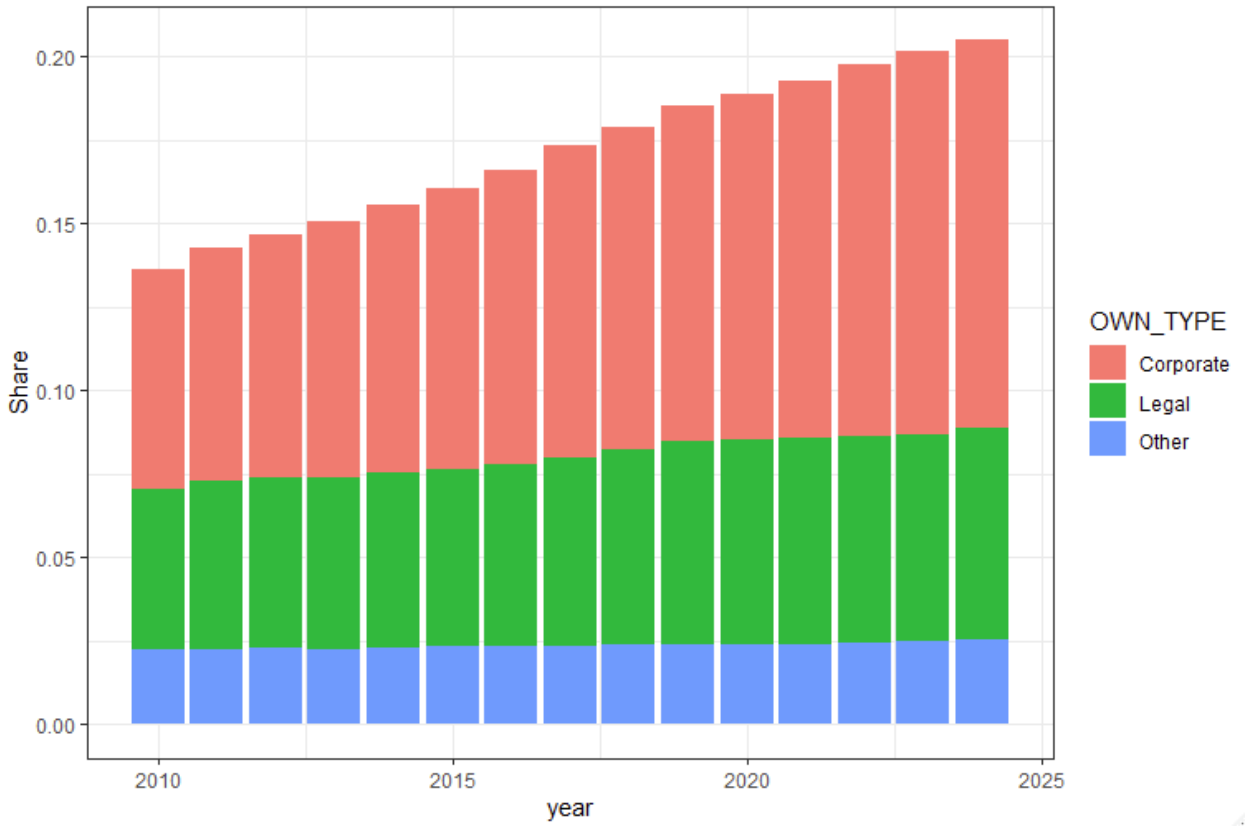
Data and Methodology

- Property Tax Assessor Tax Rolls for Saint Louis County, MO spanning 2000 through 2023 (limited to 2010 due to census data limitations).
- Search owner names for key text strings to define ownership type.
  - About 350,000 parcels over the ten year plus time frame.
- Use tenure variable to limit to owner versus nonowner occupied homes.
- Track ownership changes from sales by linking sales data to the ownership data.

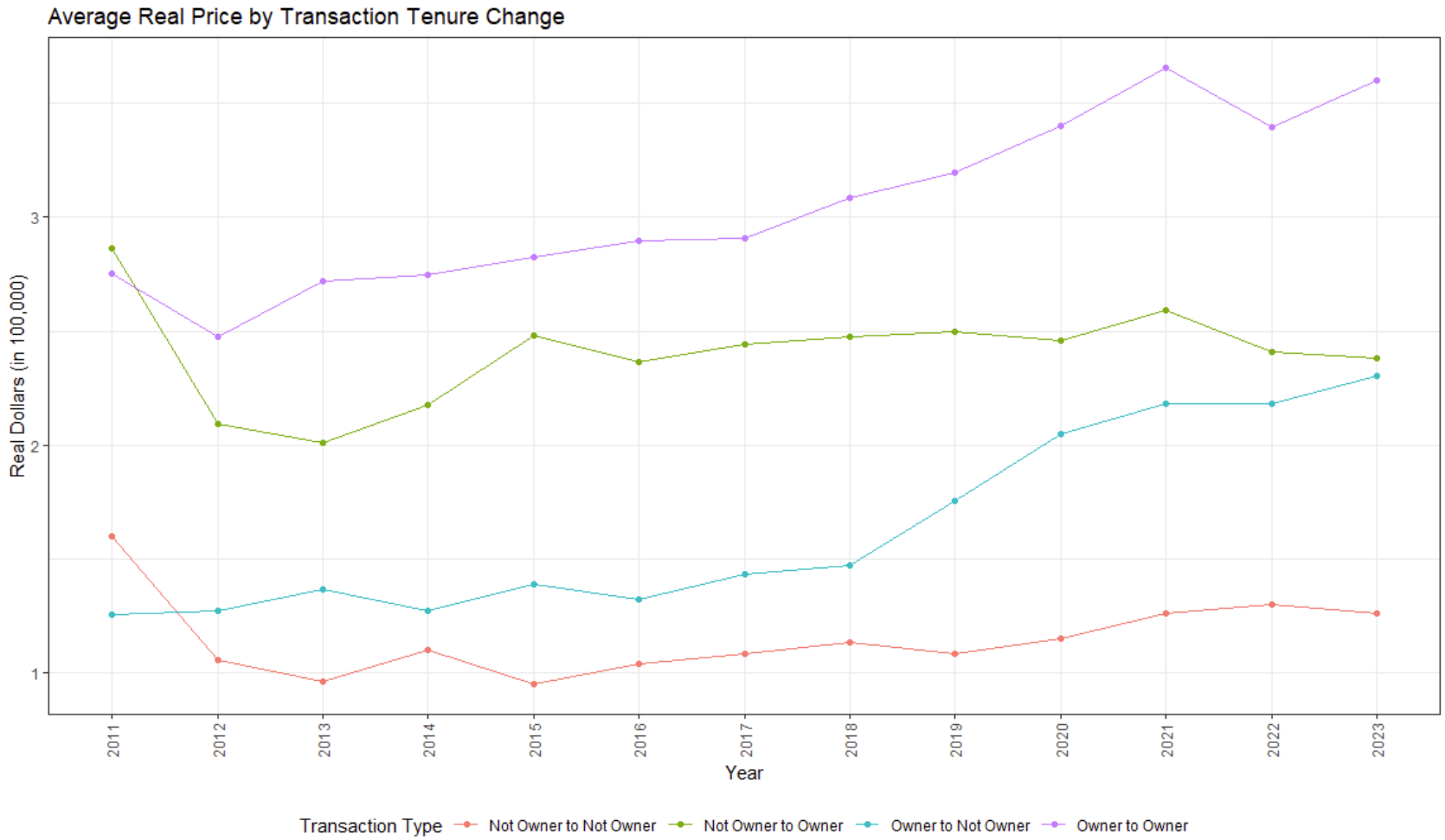
Data and Methodology

Characteristic	Overall N = 5,975,387[1]	Residential N = 5,680,045[1]	Commerical N = 260,330[1]	Agriculture N = 13,919[1]	Multi N = 21,093[1]
tenure					
NONOWNER	26%	23%	79%	98%	61%
OWNER	74%	77%	21%	1.8%	39%
corporate	9.2%	7.3%	47%	36%	28%
trustee	4.1%	3.8%	8.1%	23%	11%
nonprofit	0.3%	0.2%	2.5%	0.2%	4.1%
reown	0.2%	0.2%	1.8%	0.2%	0.2%
partnership	2.0%	1.8%	6.4%	22%	6.2%
private	84%	87%	36%	31%	56%
hoa	0.4%	0.4%	0.2%	0%	<0.1%
muni	1.4%	1.2%	5.5%	5.5%	3.1%
legal	5.6%	5.2%	13%	37%	15%
other	2.4%	2.0%	9.9%	6.0%	7.4%

[1] %



Data and Methodology



Data from St. Louis County Assessor Records

Data and Methodology

- Define four types of ownership
  - Private: Owner Occupied Homes
  - Corporate: LLC or other clearly identified corporate body
  - Legal: Sole proprietor, partnerships, or trustees.
  - Other: Municipal, REO, HOA, Nonprofit/Church
- Define four transition types based on reported tenure before and after sale.
  - Nonowner to Nonowner
  - Nonowner to Owner
  - Owner to Nonowner
  - Owner to Owner

Data and Methodology

Table One: Count and Summary Statistics by Transition Type

Characteristic	Overall N = 34,585[1]	Nonowner to Nonowner N = 4,303[1]	Owner to Nonowner N = 4,067[1]	Nonowner to Owner N = 7,025[1]	Owner to Owner N = 19,190[1]
Transaction between					
C2C	840 (2.4%)	840 (20%)	0 (0%)	0 (0%)	0 (0%)
C2L	240 (0.7%)	240 (5.6%)	0 (0%)	0 (0%)	0 (0%)
C2O	9 (<0.1%)	9 (0.2%)	0 (0%)	0 (0%)	0 (0%)
C2P	3,353 (9.7%)	538 (13%)	0 (0%)	2,815 (40%)	0 (0%)
L2C	502 (1.5%)	502 (12%)	0 (0%)	0 (0%)	0 (0%)
L2L	206 (0.6%)	206 (4.8%)	0 (0%)	0 (0%)	0 (0%)
L2O	6 (<0.1%)	6 (0.1%)	0 (0%)	0 (0%)	0 (0%)
L2P	2,030 (5.9%)	417 (9.7%)	0 (0%)	1,613 (23%)	0 (0%)
P2C	2,483 (7.2%)	831 (19%)	1,652 (41%)	0 (0%)	0 (0%)
P2L	1,267 (3.7%)	222 (5.2%)	1,045 (26%)	0 (0%)	0 (0%)
P2O	50 (0.1%)	7 (0.2%)	43 (1.1%)	0 (0%)	0 (0%)
P2P	23,599 (68%)	485 (11%)	1,327 (33%)	2,597 (37%)	19,190 (100%)
Difference of LN of Real Price	0.13 (0.01, 0.35)	0.10 (-0.31, 0.61)	0.05 (-0.13, 0.23)	0.35 (0.04, 0.75)	0.12 (0.03, 0.25)
Difference of Real Price	30,211 (1,240, 68,747)	7,538 (-18,102, 42,072)	8,389 (-13,794, 40,585)	53,012 (6,979, 97,626)	33,795 (8,732, 68,365)
Time Between Sales	3.00 (1.00, 5.00)	2.00 (1.00, 4.00)	3.00 (1.00, 5.00)	2.00 (1.00, 4.00)	4.00 (2.00, 6.00)

[1]n (%); Median (Q1, Q3)

Data and Methodology

- Estimate a (simple) repeat sales model for homes sold at least twice during the 2010 through 2024 timeframe.

$$lnP_{it} = \alpha_{it} + \beta S_{ijt} + \iota X_i + \gamma N_{it} + \Delta_i + \epsilon_{it}$$

- We include differences for census characteristics and changes in the share of nearby homes of different ownership types.
- Neighborhoods defined as $\frac{1}{8}$ and $\frac{1}{4}$ mile radius of the parcel centroid.

Data and Methodology

Table Two: Summary Stats by Transaction Type

Changes in	Overall N = 34,585[1]	Nonowner to Nonowner N = 4,303[1]	Owner to Nonowner N = 4,067[1]	Nonowner to Owner N = 7,025[1]	Owner to Owner N = 19,190[1]
Owner Occupied	-0.01 (0.07)	-0.02 (0.07)	-0.01 (0.07)	-0.01 (0.06)	0.00 (0.07)
White Race	-0.03 (0.06)	-0.02 (0.05)	-0.03 (0.06)	-0.02 (0.06)	-0.03 (0.06)
Black Race	0.01 (0.04)	0.01 (0.05)	0.01 (0.05)	0.01 (0.04)	0.01 (0.04)
Asian Race	-0.0002 (0.0044)	0.0000 (0.0039)	0.0000 (0.0045)	0.0000 (0.0041)	-0.0003 (0.0045)
Other Race	0.02 (0.05)	0.01 (0.04)	0.02 (0.05)	0.02 (0.04)	0.03 (0.05)
Under 16 years	0.05 (0.06)	0.05 (0.07)	0.05 (0.06)	0.04 (0.06)	0.06 (0.06)
Over 65 years	0.03 (0.04)	0.02 (0.03)	0.03 (0.03)	0.02 (0.03)	0.04 (0.04)
Median Age	0.3 (3.5)	0.4 (3.4)	0.2 (3.3)	0.4 (3.3)	0.3 (3.6)

[1]Mean (SD)

Values based on 1/4 mile neighborhood buffer

Data and Methodology

Table Two (cont): Summary Stats by Transaction Type					
Changes in	**Overall** N = 34,585[1]	**Nonowner to Nonowner** N = 4,303[1]	**Owner to Nonowner** N = 4,067[1]	**Nonowner to Owner** N = 7,025[1]	**Owner to Owner** N = 19,190[1]
High School Diploma	-0.006 (0.029)	0.001 (0.035)	-0.006 (0.030)	-0.004 (0.029)	-0.008 (0.027)
Some College	-0.005 (0.030)	0.000 (0.029)	-0.003 (0.030)	-0.003 (0.027)	-0.007 (0.031)
Associates Degree	0.002 (0.017)	0.002 (0.017)	0.002 (0.018)	0.002 (0.016)	0.002 (0.018)
Advanced Degree	0.011 (0.027)	0.005 (0.020)	0.009 (0.025)	0.007 (0.022)	0.014 (0.029)
Percent Below Poverty	-0.001 (0.016)	-0.001 (0.019)	0.000 (0.017)	-0.001 (0.016)	-0.001 (0.015)
Median Income	8,322 (12,778)	4,072 (8,209)	7,230 (11,723)	5,577 (10,511)	10,511 (14,062)

[1]Mean (SD)

Values based on 1/4 mile neighborhood buffer

Results – Wang, et al Replication

Table One: Full Sample

	Model One		Model Two		Model Three		Model Four	
Variable	Estimate[1]	Std. Error	Estimate[1]	Std. Error	Estimate[1]	Std. Error	Estimate[1]	Std. Error
(Intercept)	0.1645***	0.017	0.1645***	0.017	0.1630***	0.017	0.1624***	0.017
5 Neighbor Nonowner	0.0091	0.050	0.0093	0.050	0.0158	0.046	0.0194	0.045
8 Neighbor Nonowner			-0.0064	0.041			0.0047	0.036
5 Neighbor Nonowner X Corporate					0.4688	0.298	0.3945	0.271
8 Neighbor Nonowner X Corporate							0.3256	0.170
R^2	0.032		0.032		0.033		0.033	
No. Obs.	36,933		36,933		36,933		36,933	

[1] *p<0.05; **p<0.01; ***p<0.001

Standard Errors Clustered as Census Tract

Results – Wang, et al Replication

Table Two: w/ Ownership Type

	Model One		Model Two		Model Three		Model Four	
Variable	Estimate[1]	Std. Error	Estimate[1]	Std. Error	Estimate[1]	Std. Error	Estimate[1]	Std. Error
(Intercept)	0.1645***	0.017	0.1645***	0.017	0.0623***	0.014	0.0623***	0.015
5 Neighbor Nonowner	0.0080	0.043	0.0061	0.043	0.0063	0.040	0.0045	0.040
5 Neighbor Corporate	0.1246	0.108	0.1233	0.103	0.0877	0.109	0.0881	0.105
5 Neighbor Private	0.0743	0.066	0.0729	0.066	0.0138	0.072	0.0132	0.071
8 Neighbor Nonowner			-0.0376	0.043			-0.0352	0.043
8 Neighbor Corporate			0.0003	0.101			-0.0387	0.105
8 Neighbor Private			-0.0499	0.083			-0.0784	0.092
Nonowner to Nonowner					-0.0475**	0.016	-0.0477**	0.016
Nonowner to Owner					0.3834***	0.020	0.3834***	0.021
Owner to Nonowner					-0.1437***	0.012	-0.1438***	0.012
R^2	0.032		0.032		0.122		0.122	
No. Obs.	36,933		36,933		36,933		36,933	

[1] *p<0.05; **p<0.01; ***p<0.001

Standard Errors Clustered as Census Tract

Results – St. Louis Data

Table Three: One Eighth Mile Radius

	Model One		Model Two		Model Three	
Changes in:	Estimate[1]	Std. Error	Estimate[1]	Std. Error	Estimate[1]	Std. Error
(Intercept)	0.0813***	0.011	0.0299**	0.009	0.0587***	0.008
Share Corporate Owned	0.8294*	0.292	0.6909*	0.276	0.8605**	0.288
Share Private Owned	-0.0420	0.287	-0.3188	0.272	-0.2060	0.280
Share Legal Owned	-0.4028	0.248	-0.3905	0.239	-0.3683	0.242
Share Other Owned	0.8277*	0.356	0.9050*	0.408	0.9942	0.481
Tenure Change						
O2O			—	—	—	—
N2N			-0.0574***	0.015	-0.1297***	0.026
N2O			0.2736***	0.017	0.2623***	0.017
O2N			-0.1442***	0.012	-0.1805***	0.020
R^2	0.062		0.124		0.123	
No. Obs.	34,585		34,585		28,982	

[1] *p<0.05; **p<0.01; ***p<0.001

Standard Errors Clustered as Census Tract

Results – St. Louis Data

Table Four: One Quarter Mile Radius						
	Model One		Model Two		Model Three	
Changes in:	Estimate[1]	Std. Error	Estimate[1]	Std. Error	Estimate[1]	Std. Error
(Intercept)	0.0803***	0.011	0.0329***	0.009	0.0604***	0.008
Share Corporate Owned	1.9382**	0.534	1.6873**	0.516	1.9230**	0.578
Share Private Owned	0.3363	0.539	0.0028	0.523	0.2125	0.588
Share Legal Owned	-0.3403	0.453	-0.4125	0.448	-0.1932	0.517
Share Other Owned	1.2952	0.664	1.1989	0.702	1.3742	0.876
Tenure Change						
O2O			—	—	—	—
N2N			-0.0678***	0.015	-0.1399***	0.026
N2O			0.2661***	0.017	0.2553***	0.016
O2N			-0.1466***	0.012	-0.1822***	0.020
R^2	0.065		0.126		0.125	
No. Obs.	34,585		34,585		28,982	

[1]*p<0.05; **p<0.01; ***p<0.001

Standard Errors Clustered as Census Tract

Further Work

- Working to identify total properties owned by owner
  - Issue is dealing with spelling errors
- Dividing up the sample by neighborhood type
  - Research indicates that some areas are more likely to see increases in corporate ownership than others.
- Splitting up corporate ownership by local, in-state, and out-of-state.